since the Central Bank was constantly fighting the unhealthy competition of the foreign banks who had initially set up branches with the object of financing foreign trade but had exhibited a tendency to encroach on internal trade as well, something which was properly the domain of the indigenous banks. The Local Boards were empowered to authorize loans within certain limits which the Directors of the Central Bank generally approved. The entire audit staff at Bombay and at the headquarters of the group offices reported directly to Sorabji. Internal auditing was extensive, thorough, and facilitated instant detection of errors and fraud. 'Such safeguards were unique at the time and illustrated Sorabji's policy of scrupulous supervision without discouraging local responsibility.'[6]

PLAYING BIG BROTHER

In 1923, two landmark events took place. The Central Bank started managing the Union Bank of India and the TIB amalgamated with the Central Bank. By then Sorabji had been designated Managing Director (in February 1920). He had been serving as Manager before that.

Managing the Union Bank of India

The Union Bank had been launched in 1918 by a group of Marwari businessmen with a subscribed capital of ₹4 crores. Its Directors included prominent figures of the day such as Sir Hukumchand Sarupchand and Sir Hormusji Cawasji Dinshaw who commanded much respect in commercial circles. In keeping with the received wisdom of the day, its management was entirely European. On the face of it there was no reason for the Union Bank to fail, but mismanagement and inefficiency had brought it to the point when closure seemed certain. Bad debts had mounted and there was a sharp decline in the bank's deposits. Its problems were compounded by some poor investments particularly in regard to its office premises. This was ample proof of the fallibility of European managements who were as liable as anyone else to be guilty of mismanagement and inefficiency.

Aware of the sorry plight of the Union Bank, and equally aware of the setback to Indian banking if it failed, Sorabji, who had been following the fortunes of the bank closely, approached it with detailed proposals of taking over its management. This was remarkable since Sorabji had no precedent